Type MS · Dismissing an employee

Answer 1 of 3 · Question 3 part b · 2 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **legislation.** • A law put in place to protect individuals or businesses **(1)**	**(1)**

Question Number	Outline **one** reason why *Saha* may dismiss an employee. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *Saha* may dismiss an employee, plus 1 mark for development in the context of the business. • *Saha* could dismiss an employee who continually arrives late on the production line **(1)** which causes delays in delivery of robots to restaurants **(1)** **NB** Do not accept a reason that is not in the context of Saha. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the cash outflow. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** **18000 (2)** If correct answer not given award marks for workings: 24 000 + 5 000 = 29 000 **(1)** **Or** 29 000 – 11 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Dismissing an employee

Answer 1 of 3 · Question 3 part b · 2 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Analyse **two** possible reasons that may lead to business failure for *Saha.* **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • There are many new competitors, such as *NIO,* entering the robot market who are challenging *Saha* for market share • As *Saha* has ambitious plans to expand to other continents it may encounter cash flow problems due to the increased amounts of outflows required to pay for advertising/materials **AO3** • This may lead to *Saha* losing customers because it is not being competitive if other businesses such as *NIO* or *Zoox* develop robots that are technologically superior or less expensive • This could lead to a shortage of cash/ liquidity problems for *Saha* leading to its insolvency	**(6)**

Type MS · Dismissing an employee

Answer 1 of 3 · Question 3 part b · 2 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Dismissing an employee

Answer 1 of 3 · Question 3 part b · 2 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	*Saha* is planning to develop a new range of robots aimed at helping people in the home with cleaning, shopping, security and entertainment. It is considering two pricing methods for these robots: **Option 1:** price skimming **Option 2:** cost plus pricing. Justify which **one** of these two options *Saha* should choose. **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Using a price skimming strategy enables *Saha* to charge a high price for its new robots designed for the home • **Option 2** – Cost plus pricing ensures all costs involved in the manufacture of robots such as metal and assembly costs are considered when setting a price **AO3** • **Option 1** – Charging a high price will allow *Saha* to recover its research and development costs which can be reinvested into its business for further expansion/new designs • **Option 2** – assuming the robots are sold, *Saha* will be guaranteed to make a profit due to the mark-up it adds to the cost of producing the robots **AO4** • **Option 1** – However, if the price is considered too high for its target audience it may lose sales to competitors such as *Zoox* or *Vention* • **Option 2** – However, the price charged does not take into consideration the price the customer is willing to pay, which may potentially limit revenue/profit	**(9)**

Type MS · Dismissing an employee

Answer 1 of 3 · Question 3 part b · 2 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Dismissing an employee

Answer 1 of 3 · Question 3 part b · 2 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, the acid test ratio for *Saha*. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**

Type MS · Dismissing an employee

Answer 2 of 3 · Question 1 part d · 1 mark

2019 JUN · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **D –** Share capital	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **B -** Age	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A –** Market research	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** – Total costs and revenue are the same	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 - 1 mark** **B –** €34 800	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **C -** €5 962	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of insolvency. • When a business can no longer meet its debts **(1)**.	**(1)**

Type MS · Dismissing an employee

Answer 2 of 3 · Question 1 part d · 1 mark

2019 JUN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of product life cycle. • The stages a product will pass through from its introduction, through to growth, maturity and then decline **(1)**.	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why an employee could be dismissed in the context of the business. • Arriving late on the production line **(1)**. • Stealing an item such as a tyre **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 89,841 x .23 **(1)** = 20,663.43 89,841 + 20,663 = 110,504 **(1)** **OR** 123/100 x 89,841 **(1)** **=** 110,504 **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Dismissing an employee

Answer 2 of 3 · Question 1 part d · 1 mark

2019 JUN · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an impact of technology on production, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Fewer people required to work in the factories doing repetitive jobs **(1)** people get bored doing these jobs and make mistakes **(1).** Less employees brings the cost of goods down **(1).** • More robots are manufacturing the vehicles than previously **(1)** this means that the vehicles can be manufactured in any country **(1)** therefore the business could move to a cheaper country **(1).** Answers that list three impacts with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**3)**

Type MS · Dismissing an employee

Answer 2 of 3 · Question 1 part d · 1 mark

2019 JUN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company* highlights that it helps the local community with building schools/working on the environment. • *Tata Motor Company* also invests heavily in the health and welfare of people and the community. **AO3** • The public are more likely to think highly of *Tata Motor Company* if it is using the profits from its business to help local communities. • If there is any bad publicity about the vehicles sold then it could have a negative effect on the business.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Dismissing an employee

Answer 2 of 3 · Question 1 part d · 1 mark

2019 JUN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · Dismissing an employee

Answer 3 of 3 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 8 · find part b in this mark scheme extract

	Answer	
2 (a)	**A02 - 1 mark** Award 1 mark for a valid non-financial objective for *M&M* in the context of the business. • *M&M* may want to continue to help the environment by planting even more trees **(1)** • *M&M* want to maintain the support it gives to the schools it runs, helping disadvantaged children **(1)** **NB** Do not accept a non-financial objective that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Type MS · Dismissing an employee

Answer 3 of 3 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 8 · find part b in this mark scheme extract

Question Number	State **one** reason why *M&M* could dismiss an employee. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a reason why *M&M* could dismiss an employee in the context of the business. • *M&M* might dismiss an employee who continually arrives late on the tractor production line **(1)** • *M&M* may dismiss an employee in the sales department of tractors, whose absence has caused a loss of orders **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Type MS · Dismissing an employee

Answer 3 of 3 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 8 · find part b in this mark scheme extract

Question Number	Explain **one** reason why branding is important to businesses. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for why branding is important to businesses plus 2 further marks for explaining the importance, for a maximum of 3 marks. • Branding is important because it differentiates the products of a business from others **(1)** this helps customers identify the brand they want **(1)** and maintains loyalty **(1)** • By branding its products manufacturers develop a strong image of the business' product **(1)** this could increase the price of products **(1)** resulting in the strong brand being worth a great deal of money **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why branding is important to a business, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Dismissing an employee

Answer 3 of 3 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 8 · find part b in this mark scheme extract

Question Number	Explain **one** way businesses ensure that all employees have equal opportunities. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why businesses ensure that all employees have equal opportunities, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Businesses ensure that they employ both men and women **(1)** and any training offered is open to everyone **(1)** so that they do not disadvantage any one **(1)** • Employees are paid the same salary **(1)** if they carry out the same or similar work **(1)** so that they do not discriminate in any way **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why business ensure that all employees have equal opportunities, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Dismissing an employee

Answer 3 of 3 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 8 · find part b in this mark scheme extract

Question Number	Explain **one** reason why businesses maintain the quality of their products. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why businesses maintain the quality of their products plus 2 further marks for explaining why, for a maximum of 3 marks. • Consumers expect quality products **(1)** and to perform the function for which they were bought **(1)** failure to do this could lose customers to competitors **(1)** • By offering quality goods **(1)** a business could gain a competitive edge **(1)** which could result in charging higher prices **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why businesses maintain the quality of products with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Dismissing an employee

Answer 3 of 3 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 6 of 8 · find part b in this mark scheme extract

Question Number	**Option 1:** Increase promotion of all vehicles **Option 2:** Make improvements to all vehicles. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By increasing promotion more people will know about *M&M* and the different types of vehicles they have on sale • **Option 2** – By introducing new features to the cars such as an automatic door locking customers may be interested in **AO3** • **Option 1** – This could mean that more people would be interested and perhaps visit the showrooms where the vehicle are sold to try the vehicles out or purchase them • **Option 2** – Customers may prefer to have the latest technology available **AO4** • **Option 1** – However, there is no guarantee that people will buy the vehicles unless they have driven them or been recommended to buy one • **Option 2** – However, designing this feature could be expensive and customers may not wish to buy the vehicle because of the increase in price	**(9)**

Type MS · Dismissing an employee

Answer 3 of 3 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 7 of 8 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Dismissing an employee

Answer 3 of 3 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 8 of 8 · find part b in this mark scheme extract

Question Number	Define the term **autonomy.** **Answer**	Mark